MEMO

TO: AMG Executive Team
FROM: Cecilia Quansah, Digital Transformation Advisor
DATE: July 9, 2026
RE: ERP Replacement Program: Strategic Recommendations

This memo outlines a recommended approach for AMG's ERP replacement program, addressing overall structure, scope and sequencing, and data/reporting continuity. The goal is to replace our legacy systems with a modern cloud ERP within 12 months while protecting daily operations, correcting margin erosion, and resolving the recurring Bill of Materials (BOM) synchronization failures that have disrupted manufacturing.

1. Overall Approach

Key Objectives

- Give leadership real-time visibility into order profitability, so pricing and cost decisions can be corrected before jobs lose money.
- Ensure engineering and materials data stays synchronized in real time, so manufacturing no longer experiences delays caused by data sync failures.
- Ensure the rollout happens in stages, one location or module at a time, so daily operations continue without interruption during the 12-month project.

Phasing Approach

We recommend phasing the program along two dimensions:

- By module: Finance first (to establish accurate cost and margin reporting), followed by Manufacturing/Engineering (to resolve the BOM sync issue), followed by remaining systems (CRM, HR/Payroll).
- By location: One pilot location will go live first. Lessons learned will be applied before rolling out to the remaining four locations, limiting the impact of any issues to a single site rather than the entire company.

Top Risks

- **Data Migration Accuracy:**

Data from the 20+ year old legacy ERP, particularly BOMs, inventory counts, and pricing, may be incomplete or inaccurate when migrated. If errors go undetected, manufacturing could build incorrect products, order the wrong materials or quantities, or lose further margin on jobs.

- **Business Continuity During Cutover:**

During the switch to the new system, staff will need time to learn new workflows. Orders in progress at the moment of cutover, being quoted, built, or shipped, risk delays if staff cannot operate the new system as fluently as the old one, or if the two systems briefly overlap.

- **User Adoption:**

Staff accustomed to the legacy ERP for 20+ years may resist the change or make errors while adjusting to new workflows, particularly if training is rushed or inadequate. This could temporarily reduce productivity and increase the likelihood of data-entry mistakes.

- **Technical Integration:**

Even with a modern ERP, integrating it with the existing engineering system will require building a new connection or sync process. This integration is untested initially and could introduce new errors or failures similar to the current fragile nightly sync, especially during the early rollout phase.

Scope Control

Any new request during the project will be evaluated against a defined "Day-1 must-have" list: is it required for the system to function, or is it a nice-to-have? Non-essential requests will be logged and deferred to Phase 2 or later, rather than rejected outright or added mid-project, keeping the 12-month timeline intact.

2. Scope & Sequencing

Day-1 Must-Haves

- Core finance functions, invoicing, payments, and cost tracking, must work immediately to keep the business operating.
- Accurate, real-time BOM and engineering data, so that manufacturing can produce orders on schedule without the delays caused by sync failures.

Migration Exclusions

Full integration of CRM and HR/Payroll systems will be deferred to a later phase. These systems can continue operating independently in the short term without disrupting core finance or manufacturing operations, reducing complexity and risk during the initial go-live.

Customization Discipline

The new ERP will use standard, out-of-the-box functionality wherever possible, rather than being customized to replicate the old system's exact workflows. Heavy customization is expensive, slows implementation, and undermines the purpose of upgrading to a modern system. Customization will only be considered where a business process is truly unique and cannot adapt to standard functionality.

3. Data & Reporting

Historical Data Migration

Only recent, essential data required for daily operations will be migrated into the new ERP. The legacy system will remain accessible in read-only mode, allowing staff to look up older historical records without adding migration risk or delay.

Reporting During Transition

A designated finance team member will be responsible for combining data from both the legacy system and the new ERP during each phase of the rollout, ensuring leadership receives complete, consolidated KPI reports with no gaps in visibility.

Month-End Close Continuity

System cutovers will be scheduled immediately after a month-end close is completed, never mid-cycle, to avoid disrupting financial reporting deadlines or introducing errors into the closing process.

This phased, risk-controlled approach positions AMG to replace its legacy ERP within the 12-month target while protecting daily operations and directly addressing the margin visibility and BOM synchronization issues driving current business impact. I welcome the opportunity to walk the Executive Team through this recommendation in further detail.